

exchange-traded fund (ETF) vehicle, when possible. These vehicles ensure your capital is available when you want it. That way, you can go to cash and wire the proceeds to a bank account on the same day, if you like.

Does It Reduce My Ability to Tactically Allocate Assets?

After dropping 20 percent of your capital into private equity, venture capital, and hedge funds, all with five-year+ lockups, you suddenly realize that the markets have blown up and your “alternatives” exposure is now 60 percent of your capital—you'd love to scale back, and perhaps reallocate to areas where dislocations have created opportunity in liquid markets, but you *cannot*. Yikes. Illiquid alternatives can have dramatic effects on overall allocation flexibility in adverse markets.

C: Complexity

“Any intelligent fool can make things bigger, more complex, and more violent. It takes a touch of genius, and a lot of courage, to move in the opposite direction.”

—E.F. Schumacher

Jason Zweig's book, *Your Money and Your Brain*, highlights an interesting conversation with Harry Markowitz, who won a Nobel Prize in 1990 for his groundbreaking work in portfolio selection. In their conversation, Zweig asks Markowitz how he invests his own money. Markowitz responds with the following:

“I should have computed the historical covariance of the asset classes and drawn an efficient frontier...I split my contributions 50/50 between bonds and equities.”⁴

The intellectual leader behind modern portfolio management is an equal-weight asset allocator? We'll come back to the quote in a moment, but first let's review some general observations on Markowitz's mathematically sophisticated approach to asset allocation—the one he chose to disregard when it came to his own portfolio.

The mean-variance story is compelling. Mean-variance optimization involves calculating the returns of each asset and correlations for each pair of assets, and solving for the efficient frontier that maximizes returns while